

JSW Energy Ltd

Investment Rating : Good

Company Overview

Website	https://www.jsw.in/
Sector	nan
Market Cap	110,870.53 Cr
PE Ratio	24.79
PB Ratio	9.88
Dividend Yield	1.25 %

Financial Quality

ROE	8.4
ROCE	8.59
CFO Quality	High Quality
FCF CAGR	nan%
Capital Pattern	Balanced

Capital Allocation

Capital Score	72.0
Reinvestment	Aggressive Expansion
Debt Trend	Increasing Debt
Leverage	High

Business Overview

JSW Energy Ltd and its subsidiaries are primarily engaged in the business of generation of power from its power assets located at Karnataka, Maharashtra, Nandyal and Salboni. It is the holding company for the JSW group's power business. The company also has a JV company engaged in mining activities and an associate engaged in manufacturing of turbines.[1]

Strengths

Strong free cash flow generation over 5 years signals healthy business fundamentals.
Operating profit margin above 25% indicates strong pricing power and cost discipline.
Net profit compounding above 20% over 5 years creates significant shareholder value.
Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding.
Revenue growing slower than profits shows improving operating leverage and scale benefits.

Risks

Net debt exceeding three times operating profit indicates elevated financial leverage.
Revenue growing below 5% over five years suggests limited business momentum.